

CASE A – STRONG BORROWER

HarbourLink Medical Supplies Limited

Financial Statements for Loan Assessment

Years ended 31 December 2023 – 2025 | Amounts in HKD 000 unless stated

Business profile	Distributor of clinic and laboratory consumables
Loan request	HKD 3.0m term loan; 5-year amortisation; 7.25% indicative rate
Indicative decision	Potentially approvable, subject to standard diligence
Reference period	FY2023–FY2025 audited-style history

Key figures

Revenue FY2025	EBITDA FY2025	Net profit FY2025
56,200	7,900	5,173
Operating cash flow FY2025	Total equity FY2025	DSCR FY2025
6,473	21,600	3.66x

Credit conclusion

Potentially approvable, subject to standard diligence

HarbourLink shows the profile a bank would generally prefer for a HKD 3.0m SME facility: recurring revenue, resilient gross margin, positive EBITDA, cash interest coverage above 7x, DSCR above 2.4x, current ratio above 2.6x, and debt / EBITDA falling below 1x. The illustrative request appears serviceable from internal cash generation, although a bank would still test customer concentration, stock ageing, management accounts, tax compliance, security, and the owners' personal guarantees.

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Conventions. Hong Kong setting; HKD; amounts rounded to the nearest HKD 000; negative values are shown in red parentheses. Statements are simplified lender-style examples, not statutory accounts or a credit recommendation. A bank would still require bank statements, tax filings, debtor ageing, management accounts, security details and beneficial-owner checks.

1. Income statement

For the years ended 31 December | HKD 000

Income statement	FY2023	FY2024	FY2025
Revenue	42,000	48,600	56,200
Cost of sales	29,400	33,500	38,500
Gross profit	12,600	15,100	17,700
<i>Gross margin</i>	30.0%	31.1%	31.5%
Operating expenses	7,800	8,700	9,800
EBITDA	4,800	6,400	7,900
<i>EBITDA margin</i>	11.4%	13.2%	14.1%
Depreciation & amortisation	1,000	1,100	1,200
EBIT	3,800	5,300	6,700
Finance costs	520	480	430
Profit before tax	3,280	4,820	6,270
Tax expense	574	844	1,097
Net profit	2,706	3,976	5,173

2. Balance sheet

As at 31 December | HKD 000

Balance sheet	FY2023	FY2024	FY2025
Cash and bank balances	5,200	7,400	10,100
Trade receivables	6,300	7,200	8,000
Inventories	8,200	8,900	9,600
Other current assets	900	1,000	1,100
Total current assets	20,600	24,500	28,800
Property, plant & equipment, net	5,200	5,700	6,200
Right-of-use assets	1,800	1,700	1,600
Total assets	27,600	31,900	36,600
Trade and other payables	5,100	5,700	6,200
Short-term bank borrowings	2,200	2,100	1,900
Current lease liabilities	500	500	500
Total current liabilities	7,800	8,300	8,600
Long-term bank borrowings	4,300	3,900	3,400
Long-term lease liabilities	1,200	1,100	1,000
Total liabilities	13,300	14,300	15,000
Share capital and retained earnings	14,300	17,600	21,600
Total liabilities and equity	27,600	31,900	36,600

3. Cash flow statement

For the years ended 31 December | HKD 000

Cash flow statement	FY2023	FY2024	FY2025
Net profit	2,706	3,976	5,173
Depreciation & amortisation	1,000	1,100	1,200
Change in working capital	(900)	(800)	(900)
Net cash from operating activities	4,200	5,476	6,473
Capital expenditure	(1,900)	(1,900)	(1,900)
Net cash from investing activities	(1,900)	(1,900)	(1,900)
Debt drawn / (repaid)	(1,400)	(500)	(700)
Lease principal paid	(500)	(500)	(500)
Dividends / owner withdrawals	(1,200)	(1,200)	(1,200)
Net cash from financing activities	(3,100)	(2,200)	(2,400)
Net change in cash	(800)	1,376	2,173

4. Debt and credit metrics

Ratios calculated from the statements above | Bank lens shown for reference

Metric	FY2023	FY2024	FY2025	Indicative bank lens
Current ratio	2.64x	2.95x	3.35x	>1.25x generally preferred for working-capital resilience
Quick ratio	1.59x	1.88x	2.23x	Higher is better; inventory-heavy businesses need a buffer
Debt / EBITDA	1.35x	0.94x	0.67x	<3.0x often more comfortable for an SME
Interest coverage	7.31x	11.04x	15.58x	>3.0x provides meaningful headroom
DSCR	2.49x	3.15x	3.66x	>1.25x commonly targeted; <1.0x indicates debt service shortfall
Receivable days	54.7	54.1	52.0	Long or rising days can signal collection risk
Inventory days	101.9	97.0	91.1	Rising days tie up cash and increase obsolescence risk
Operating cash flow / debt	0.65x	0.91x	1.22x	Positive and rising is supportive

Loan request (illustrative): HKD 3,000k. Indicative decision: Potentially approvable, subject to standard diligence. Not a formal credit approval.